

The Information Daily Briefing — 2026-08-03

Monday, 3 August 2026 (GMT+8)

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Executive Summary

The last 24 hours at *The Information* were dominated by the **AI infrastructure trade** and a **heavy Big Tech earnings run-up**. The single biggest event ahead is **SpaceX's first-ever earnings report on Tuesday**, landing inside a jammed week that also includes Palantir, AMD, Uber, DoorDash, Shopify, Airbnb, Spotify, Snap and Instacart. Underneath the earnings noise, two structural themes stood out: (1) the **cost of building AI data centers is rising** as U.S. states move to repeal the sales-tax breaks they once used to lure hyperscalers, and (2) **capital keeps flooding into AI** — Amazon completed its full \$50 billion investment in OpenAI, while new models from OpenAI (“Astra”), DeepSeek (a smaller V4) and China’s MiniMax (video) kept the model race red-hot. A notable non-AI signal: **Robinhood now earns more from prediction markets than from stock trading**, a structural shift in retail finance.

Overall sentiment: cautiously constructive but increasingly cost-aware. Enthusiasm for AI demand remains intact, but the narrative is shifting from “spend whatever it takes” toward scrutiny of **cash burn, capex intensity, power costs and now tax/regulatory drag**. SpaceX’s slide (down ~49% from its post-IPO peak) is a live reminder that valuations and lock-up dynamics still matter even for the most hyped names.

Top Stories (What · Why · When · Which · How)

1. SpaceX reports its first earnings inside a jam-packed Big Tech week

- **What:** SpaceX will deliver its first quarterly earnings report as a public company on Tuesday, kicking off one of the busiest earnings weeks of the season.
- **Why:** It is the market’s first real look at SpaceX’s economics post-IPO, and it comes just before a lock-up expiry that will flood the market with new shares — a combination that is already pressuring the stock. A potential SpaceX–Tesla merger raises the stakes further.
- **When:** Earnings Tuesday; first lock-up restriction on early-shareholder selling expires Thursday. Snap and Palantir report Monday; Spotify and AMD Tuesday; Uber, DoorDash and Shopify Wednesday; Airbnb and Instacart Thursday.
- **Which (companies):** SpaceX, Tesla; plus Snap, Palantir, Spotify, AMD, Uber, DoorDash, Shopify, Airbnb, Instacart.
- **How (the numbers):** Street expects Q2 revenue ~\$6.82B (2025 full-year was \$18.6B; Q1 was \$4.69B, +15% YoY). Estimated cash burn of ~\$10.9B on ~\$14B capex, with capex projected to *double* to ~\$25B

by Q2 2027. SpaceX closed Friday at \$108.37 — ~49% below its post-IPO peak and ~20% below the \$135 IPO price — for a ~\$1.4T market cap that *The Information* still calls richly valued.

- **Link:** <https://www.theinformation.com/newsletters/the-briefing/spacex-leads-crowded-earnings-week>

2. Data-center costs set to rise ~7% as U.S. states move to repeal tax breaks

- **What:** States that once competed to attract data centers are now rolling back or pausing sales-tax exemptions, a shift that could add 7% or more to AI equipment costs.
- **Why:** Bipartisan officials are defending against criticism that they gave away too much; they argue the breaks now cost needed revenue and may no longer be necessary. Some are also protecting electricity ratepayers.
- **When:** The trend accelerated this summer (2026). Texas is queued for its next legislative session; Washington ended an exemption last month; Arizona paused exemptions for three years; New York passed a development moratorium.
- **Which (companies/states):** Microsoft, Google, Meta, Amazon and Oracle are the hyperscalers most exposed; states named include Texas, Washington, Arizona, Louisiana and New York. Meta is spending ~\$50B on Louisiana facilities that could scale to 5 GW.
- **How (the math):** Four states have already rolled back or paused incentives and nine more are considering repeal (per the National Conference of State Legislatures and *The Information*). At a 7% sales-tax rate, ~\$40B of spend per gigawatt could grow by nearly \$3B to ~\$43B. Rather than full repeal, some states may instead impose job-creation or infrastructure-funding conditions.
- **Link:** <https://www.theinformation.com/newsletters/ai-infrastructure/exclusive-data-center-costs-set-rise-u-s-states-move-repeal-tax-breaks>

3. Robinhood now makes more revenue from prediction markets than from stock trades

- **What:** Prediction markets have become Robinhood’s second-largest trading business, overtaking both stock and crypto revenue for the first time.
- **Why:** Event/betting markets are booming, and Robinhood has moved fast to challenge incumbents Kalshi and Polymarket — reshaping where retail trading revenue comes from.
- **When:** Disclosed in Robinhood’s Q2 2026 earnings (reported last week); published by *The Information* as a Sunday Insights piece on 2 August.
- **Which (companies):** Robinhood; competitors Kalshi and Polymarket.
- **How (the numbers):** Prediction-markets revenue surged more than tenfold year-over-year to \$156M in Q2, accounting for ~20% of total trading revenue — now behind only options.
- **Link:** <https://www.theinformation.com/articles/robinhood-now-makes-revenue-predictions-stock-trades>

4. Amazon completes its full \$50 billion investment in OpenAI

- **What:** Amazon has finished funding a \$50B investment in OpenAI, putting in the remaining \$35B in two recent tranches.
- **Why:** It deepens the cloud-and-compute alignment between the two and underscores that the AI capital arms race among hyperscalers is still escalating, not cooling.
- **When:** Revealed in a securities filing on Friday, 1 August.
- **Which (companies):** Amazon, OpenAI (and, by extension, cloud rivals Microsoft and Google).
- **How:** The final \$35B was deployed in two stages over recent months, completing the previously announced commitment.
- **Link:** <https://www.theinformation.com/briefings/amazon-completes-additional-35-billion-investment-openai>

5. The model race intensifies: OpenAI’s “Astra,” DeepSeek’s smaller V4, MiniMax video

- **What:** OpenAI is preparing a new model family tentatively called “Astra” with better long-running-task ability; DeepSeek shipped a smaller, cheaper version of its V4 model; China’s MiniMax launched a new open-source video model (H3).

- **Why:** Competition is intensifying across frontier models, cost-efficient open-source models, and generative video — with Chinese labs pressing hard on price and openness.
- **When:** All surfaced Friday/over the weekend of 1–2 August.
- **Which (companies):** OpenAI, DeepSeek, MiniMax, ByteDance, Google.
- **How:** “Astra” is described by three people briefed on the plans; DeepSeek’s smaller V4 (a “V4 Flash”-style release) is drawing attention on cost; MiniMax’s H3 escalates its rivalry with ByteDance and Google in AI video.
- **Links:** <https://www.theinformation.com/briefings/exclusive-openai-previews-astra-ai-model-dc> · <https://www.theinformation.com/briefings/deepseek-makes-splash-small-affordable-v4-flash-model> · <https://www.theinformation.com/briefings/chinas-minimax-launches-new-open-source-ai-video-model>

6. Chip supply-chain manoeuvres: TSMC vs Intel, China’s homegrown DUV tools

- **What:** TSMC is developing new AI chip-packaging technology to counter Intel, while China has begun mass-producing homegrown DUV chipmaking tools; separately, Chinese startup Moonshot is seeking more Nvidia Blackwell chips.
- **Why:** Advanced packaging (a bottleneck for AI accelerators) and domestic tool-making are becoming key competitive fronts as demand outstrips supply and export controls bite.
- **When:** Reported 1–2 August.
- **Which (companies):** TSMC, Intel, Nvidia, Moonshot; Chinese domestic toolmakers.
- **How:** TSMC leans on packaging leadership to defend against Intel’s foundry push; China’s DUV milestone advances self-sufficiency; Moonshot’s Blackwell demand signals continued reliance on Nvidia despite controls.
- **Links:** <https://www.theinformation.com/articles/tsmc-develops-ai-chip-packaging-tech-counter-intel> · <https://www.theinformation.com/articles/china-starts-mass-producing-homegrown-duv-chipmaking-tools-advance-local-chip-industry>

Also in the Last 24 Hours (quick hits)

- **Elon Musk denied** a *Wall Street Journal* report that Tesla weighed selling its China business to prep for a SpaceX merger, calling it “fake news.” — <https://www.theinformation.com/briefings/elon-musk-dismisses-report-tesla-considered-selling-chinese-business>
- **SemiAnalysis’s Dylan Patel** is raising a ~\$400M venture fund (SemiAnalysis Capital Fund I). — <https://www.theinformation.com/briefings/exclusive-semianalysis-dylan-patel-targets-400-million-venture-capital-fund>
- **Data-center operator CyrusOne** is laying the groundwork for an IPO; neocloud **Nscale** is preparing a multibillion-dollar IPO pitch — more AI-infra supply coming to public markets. — <https://www.theinformation.com/articles/data-center-operator-cyrusone-lays-ipo-groundwork>
- **Garry Tan’s political operation:** a profile of how the Y Combinator CEO’s political ambitions run through his 32-year-old political director, Forrest Liu. — <https://www.theinformation.com/articles/garry-tans-political-dreams-require-32-year-olds-grunt-force>
- **The Big Read:** Silicon Valley eyes a new biotech frontier — Montana. — <https://www.theinformation.com/articles/silicon-valley-looks-new-biotech-frontier-montana>

Market Trend, Development & Sentiment

Trend. The through-line is that **AI demand is not the question; the cost of serving it is.** Rising power prices, capex intensity, debt-financing terms and now the repeal of state tax breaks are all pushing up the real cost of AI infrastructure. That is beginning to separate winners (those who can fund and monetize compute) from names where cash burn is outrunning revenue.

Development. Capital formation around AI remains enormous — Amazon’s completed \$50B into OpenAI, a new \$400M chip-focused VC fund, and a pipeline of AI-infra IPOs (CyrusOne, Nscale). At the same

time, the competitive frontier is broadening: cheaper open-source and Chinese models (DeepSeek, MiniMax) pressure pricing, while packaging and domestic tooling reshape the chip supply chain.

Sentiment. Cautiously constructive. Earnings estimates across the ad, cloud, delivery and chip names are healthy (AMD +47% revenue, Palantir +81%, Uber gross bookings +25% in Q1). But SpaceX's post-IPO slide and the market's new focus on cash burn signal that investors are re-underwriting hype with discipline. Retail behaviour is also shifting — the Robinhood prediction-markets surge shows appetite for event-driven speculation over traditional equities.

Key Questions & Risks

- **SpaceX cash burn vs. growth:** Can revenue growth (~\$6.8B Q2 est.) offset ~\$10.9B of estimated cash burn, and how does the Thursday lock-up expiry pressure the stock? Risk: a disappointing print plus new float could deepen the decline.
- **Tesla-SpaceX merger overhang:** If the two combine while *both* are burning cash on rising capex, what does the pro-forma balance sheet look like? Musk has denied a related China-sale report, but merger speculation persists.
- **Data-center tax/regulatory drag:** How many of the nine “considering” states actually repeal, and do conditions (jobs, infrastructure, ratepayer protection) become the norm? Risk: a ~7% cost step-up compresses returns on hyperscaler and neocloud buildouts.
- **AI monetization vs. capex:** With Big Tech capex at \$40–50B per quarter each, is revenue keeping pace, or is the market financing capacity ahead of demand (CLOs/ATMs, IPOs)? Risk of an air-pocket if AI revenue disappoints.
- **China/open-source pricing pressure:** Do cheaper DeepSeek/MiniMax models erode pricing power and margins for U.S. frontier labs and their cloud backers?
- **Supply-chain concentration:** Advanced packaging (TSMC) and Nvidia dependence remain choke points; export controls and China's tooling push add two-way risk.

Investment Implications

The following are informational observations drawn from companies directly named in today's coverage — not personalized investment advice. Claude is not a licensed financial advisor; do your own diligence and consider your own circumstances before acting.

- **SpaceX (post-IPO):** Highly event-driven this week — first earnings (Tue) and lock-up expiry (Thu). Elevated volatility both ways; valuation and float expansion are the swing factors. *The Information* flags it as still richly valued.
- **Tesla (TSLA):** Watch merger commentary and its own rising capex/cash-burn trajectory; sentiment is tied to the SpaceX narrative.
- **Nvidia (NVDA):** Continued demand signals (Moonshot seeking Blackwell) are supportive, but China self-sufficiency (DUV tools) and export policy are long-term watch-items.
- **AMD (AMD):** Estimated +47% revenue / +94% EPS into Tuesday; a key read on AI-chip demand breadth beyond Nvidia.
- **Palantir (PLTR):** Estimated +81% revenue — a bellwether for enterprise/government AI-software monetization; high expectations = high bar.
- **Amazon (AMZN), Microsoft (MSFT), Alphabet (GOOGL), Meta (META), Oracle (ORCL):** Most exposed to data-center tax-break repeals; incremental cost headwind to AI buildouts. Amazon's completed \$50B OpenAI stake deepens its AI positioning.
- **Robinhood (HOOD):** Structural new revenue engine in prediction markets (+10x YoY, ~20% of trading revenue); a genuine diversification story but also regulatory-sensitive.
- **TSMC (TSM) / Intel (INTC):** Packaging leadership is TSMC's defensive moat; Intel's foundry ambitions are the counter-narrative to watch.

- **Delivery/consumer platforms — Uber (UBER), DoorDash (DASH), Shopify (SHOP), Airbnb (ABNB), Instacart (CART), Spotify (SPOT), Snap (SNAP):** All report this week; watch ad recovery (Snap, Spotify), M&A-driven growth (Uber/Delivery Hero, DoorDash/Deliveroo) and margin trajectory.
- **AI-infra IPO pipeline — CyrusOne, Nscale:** New public-market supply of AI-infrastructure exposure is coming; a theme to monitor for entry points and for read-through on private-market AI valuations.

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